

Intertek Group — ITRK.XLON

EQT Possible Offer (Rule 2.4) · deep-dive · 2026-04-16

Ticker	ITRK.XLON (LSE Main Market, FTSE 100)
ISIN	GB0031638363
Market cap	GBP 6,631m / USD 8,422m
Signal date	2026-04-16
Signal type	takeover_possible_offer (Rule 2.4)
Direction	LONG (target of possible PE take-private)
Score	28.0 / 42.5 (immediate route)
Potential bidder	EQT (Swedish PE firm)
Undisturbed price	~3,679p (close 2026-04-08, pre-leak)
Current price	~4,292p (+12.4% post-announcement)
PUSU deadline	2026-05-14 (Rule 2.6(a), 28 days)

Thesis (TL;DR)

On 16 Apr 2026, Intertek Group (ITRK.XLON, FTSE 100, mcap £6.6B) disclosed two Rule 2.4 announcements confirming EQT, the Swedish PE firm, as a potential bidder. EQT made an indicative proposal which Intertek's board **REJECTED** on April 13 (three days after receipt on April 10), simultaneously announcing a strategic review to potentially split the company into two businesses (Testing & Assurance and Energy & Infrastructure). Shares jumped ~13% to 4,292p despite the rejection, suggesting the market expects either a revised bid or alternative value-crystallising outcomes. The PUSU deadline is May 14, 2026. No offer price has been publicly disclosed. Analyst consensus PTs range from 4,300p to 6,750p (avg ~5,500p). Historical Rule 2.4-to-2.7 conversion rate for UK large-cap is ~55%, implying meaningful walk-away risk. Conviction: WATCH with satellite sizing (1-3%).

Company context

Intertek Group: Global quality-assurance provider in the testing, inspection, and certification (TIC) industry. FTSE 100 constituent. Primary peers: SGS (Swiss-listed), Bureau Veritas (French-listed), Eurofins. Trades at ~20x FCF historically. UK-domiciled, GBP-denominated.

EQT: One of Europe's largest PE firms. EQT X fund specifically focused on take-privates of listed companies. Notable UK take-private track record includes Nord Anglia Education (60% premium in 2008; value grew to \$14.5B by 2025). 30-year track record: 2.7x realized gross multiple on invested capital. New leadership actively pursuing take-private opportunities.

Strategic context: EQT is understood to have a 'clear thesis' for separating the business. Intertek's simultaneous announcement of its own strategic review suggests prior dialogue may have been more extensive than disclosed. The TIC industry has seen ongoing consolidation discussions (SGS as historical merger counterparty).

Institutional ownership: FTSE 100 so expect 70%+ institutional. Index-fund passive holders are significant. Recent TR-1 filings should be checked for activist-style accumulation in prior 90 days.

What the release actually contains

Signal 1 (11:37 UTC): Intertek's initial 'Statement re possible offer' — Rule 2.4 disclosure confirming a possible offer exists.

Signal 2 (13:39 UTC): 'Response to possible offer announcement by EQT' — follow-up naming EQT as the potential offeror. EQT made its own Rule 2.4 announcement between the two Intertek statements.

Board position: Intertek's board received an indicative proposal from EQT on April 10, rejected it on April 13. Simultaneously announced a strategic review to potentially split the company into two businesses (Intertek Testing & Assurance and Intertek Energy & Infrastructure).

No price disclosed: The indicative offer price has not been made public. Market reaction (+13%) and analyst PT range (4,300-6,750p) suggest the market is pricing in a materially higher bid than the current 4,292p level.

Thesis statement

Intertek is a high-quality FTSE 100 TIC business that has received a Rule 2.4 approach from EQT, a credible PE buyer with strong UK take-private track record. The board's rejection plus simultaneous strategic review creates a multi-path value-crystallisation scenario: (a) EQT returns with a higher bid before the May 14 PUSU deadline, (b) the strategic review

itself unlocks a sum-of-the-parts premium, or (c) EQT walks away and Intertek trades back toward the undisturbed level. The ~55% historical conversion rate for UK large-cap Rule 2.4 announcements means walk-away risk is substantial. At 4,292p vs. 3,679p undisturbed, the market has already priced in ~16% of potential upside; if a firm offer materialises at analyst-consensus levels (~5,500p), the further upside is ~28% from here. Sizing at 1-3% satellite reflects the elevated completion uncertainty relative to a Rule 2.7 firm offer. Re-engage on any PUSU extension or revised bid language.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
EQT Rule 2.4 announcement	2026-04-16 (done)	N/A	N/A
Intertek board response	2026-04-16 13:39 (done)	Entry on reopen at discount	—
PUSU deadline (default 28d)	2026-05-14	—	Kill if EQT walks away
PUSU extension (Panel permission)	If granted, +28d	—	—
Rule 2.7 firm offer (if converts)	T+28 to T+56	Re-underwrite on firm terms	—
Strategic review outcome	H2 2026 (est.)	Separation premium	Standalone value floor
Scheme document / shareholder vote	T+90 to T+120 post-firm	—	—

Steelman of the opposite view

- Rule 2.4 walk-away: EQT announces it will not proceed (Rule 2.8 lapse). Historical base rate ~45% for large-cap 2.4 that fail to convert to 2.7. ITRK drifts back toward 3,679p undisturbed — a ~14% downside from current levels.
- Valuation ceiling: At ~20x FCF historically, PE may be priced out once due diligence confirms TIC margin compression from SGS/BV competition. A 30%+ premium to undisturbed implies ~£4,800p minimum offer; getting to analyst consensus ~5,500p may require overpayment.
- Financing/syndication risk: At ~£6.6B enterprise value, this is a very large PE deal. Financing markets may not support the required leverage.
- Board rejection is genuine: Intertek's board determined EQT's proposal undervalues the company and will not engage further. Strategic review is the board's preferred path.
- Regulatory complexity: UK CMA, EU competition, potentially US HSR. EQT likely does not have a competing TIC business, so regulatory is secondary risk but must be mapped.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: EQT Rule 2.8 lapse	EQT confirms will not proceed	RNS by 2026-05-14
K2: Board terminates discussions	Rule 2.4 update: no agreed terms	RNS
K3: Price indication too low	Disclosed price <15% premium to undisturbed	RNS/financial press
K4: Financing market seizure	Syndicated debt market closes for large-cap PE	Market conditions
K5: Competing bidder (switch risk)	Interloper at higher terms	RNS (may be upside, position-dependent)

Peer comparables

- EQT / Dechra Pharmaceuticals (2023): UK-listed take-private at 44% premium. Completed successfully after initial board resistance. Took ~6 months from approach to close.
- Apax / Evelyn Partners (2024): UK mid-cap PE take-private at 30% premium. Board engagement after initial rejection led to revised terms.
- TIC industry: SGS (Swiss) attempted merger with Bureau Veritas in 2022 — collapsed on valuation. Intertek viewed as 'third prize' in TIC consolidation.
- EQT / Nord Anglia Education (2008): 60% premium take-private. Value grew to \$14.5B by 2025 — demonstrates EQT's ability to create value in quality-services businesses.

Position sizing guidance

Satellite (1-3%). Rule 2.4 candidates have materially lower conversion rates than Rule 2.7 firm offers (~55% vs ~90%). Size SMALLER than a firm-offer arb trade would warrant. ITRK liquidity is excellent (FTSE 100, £6.6B mcap), so sizing is not liquidity-constrained. Manage explicit PUSU-deadline risk (Kill 1). Downside to undisturbed: ~14% from current 4,292p to 3,679p. Upside to consensus PT: ~28% from 4,292p to ~5,500p. Risk-reward roughly 2:1 at satellite sizing, but with a coin-flip probability on conversion.

Sources & traceability

- Investigate: Statement re possible offer (RNS, 2026-04-16 11:37 UTC)
- Investigate: Response to possible offer announcement by EQT (RNS, 2026-04-16 13:39 UTC)
- Investing.com: Intertek shares jump after EQT takeover approach revealed
- Investing.com: EQT confirms takeover approach for Intertek rejected
- Stocksguide: Intertek price targets (consensus 5,238-5,709p)
- Bloomberg: EQT take-private strategy (new leadership actively pursuing)
- signal_id: d0175731827b3fbeca24c49039a1425d, 52c36d90dd51433b1d2caffde1fa6564